

requesting that the Court enter judgment against you....” See Amended Mot. 2:22-25, 3:10-14,1/13/26 Appendix of Exs., Exs. C, E. Plaintiff filed its application to enter judgment on February 11, 2025, and served the same on Defendant at his address of record. See 2/11/25 Application and Declarations. Notwithstanding full notice that Defendant was allegedly in default and that Plaintiff was applying for entry of judgment, Defendant filed *nothing* to oppose the request for entry of judgment including any sort of defense. Moreover, Defendant has provided no credible explanation as to why he took no action to challenge the instant judgment until December 2025.

“Given [Defendant’s] inability to satisfy the satisfactory excuse or diligence prong, [the Court need] address whether they have a meritorious defense.” *Kramer*, 56 Cal.App.5th at 38.

In sum, the motion lacks merit and is denied.

2. CU0000512 eCapital Asset Based Lending v. Nicole Medina, et al.

Defendants’ motion for attorney’s fees is granted in part, that is, in the amount of \$74,480.00.

Request for Judicial Notice

Defendants’ requests for judicial notice of exhibits 1-3 are granted.

Mr. Bonuchi’s Fees

Plaintiff argues Mr. Bonuchi’s fees are not recoverable in this case as they were in a separate federal case (S.D.N.Y. Case No. 21-cv-0507). The Court agrees.

The case at bar was filed on January 17, 2023. The Declaration of Anthony W. Bonuchi shows all of his time billed took place between February 18, 2021 through August 5, 2021 and related entirely for the federal case. Mr. Bonuchi’s fees are not recoverable as fees associated with the instant matter.

Ms. Jones and Mr. Richard’s Fees Under the Tracy Guaranty

Parties Entitled to Fees

Plaintiff argues that because Ms. Medina was the only personal representative of the Estate of David Freeman, Defendant Mitchell Freeman was not in privity of contract with decedent and cannot claim attorney’s fees under the reciprocal attorney’s fees clause of the Tracy Guaranty. The Court disagrees.

Plaintiff does not dispute the Tracy Guaranty contained a reciprocal attorney’s fees clause. Opp. 7:9-10. Under Civil Code 1717(a), thus, “the party who is determined to be the party prevailing on the contract, whether he or she is the party specified in the contract or not, shall be entitled to reasonable attorney’s fees in addition to other costs.” “Prevailing party” is specifically defined in Code of Civil Procedure section 1032 to include “a defendant in whose favor a dismissal is entered....” Code Civ. Proc. § 1032(a)(4). Therefore, both Defendants were the prevailing party for purposes of Civil Code section 1717, whether specified in the contract or not. See *Reynolds Metals Co. v. Alperson* (1979) 25 Cal.3d 124, 128 (“Section 1717 was enacted to establish mutuality of remedy where contractual provision makes recovery of attorney’s fees available for

only one party. ... Its purposes require section 1717 be interpreted to further provide a reciprocal remedy for a nonsignatory defendant, sued on a contract as if he were a party to it, when a plaintiff would clearly be entitled to attorney's fees should he prevail in enforcing the contractual obligation against the defendant.”).

Reasonable Fees

Calculation of attorneys’ fees is committed to the discretion of the trial court. *PLCM Group v. Drexler* (2000) 22 Cal.App.4th 1084, 1095-1096. The calculation must be based on “a computation of time spent on a case and the reasonable value of that time.” For purposes of the calculation, “[t]he reasonable hourly rate is that prevailing in the community for similar work.” *Id.* The court is not bound by the evidence and argument provided by the party seeking the fees. Under California law, “[t]he court has a duty, independent of any objection, to assure that the amount and mode of payment of attorney fees are fair and proper, and may not simply act as a rubberstamp for the parties’ agreement.” *In re Consumer Privacy Cases* (2009) 175 Cal.App.4th 545, 555. “The courts repeatedly have stated that the trial court is in the best position to value the services rendered by the attorneys in his or her courtroom, and this includes the determination of the hourly rate that will be used in the lodestar calculus. In making its calculation, the court may rely on its own knowledge and familiarity with the legal market, as well as the experience, skill, and reputation of the attorney requesting fees, the difficulty or complexity of the litigation to which that skill was applied, and affidavits from other attorneys regarding prevailing fees in the community and rate determinations in other cases.” *569 East County Boulevard LLC v. Backcountry Against the Dump, Inc.* (2016) 6 Cal.App.5th 426.

Generally, the standard for calculating an award of attorney fees begins with the ‘lodestar,’ a calculation obtained by multiplying the hours worked by each person entitled to compensation by a reasonable hourly rate for those services. *PLCM Group, Inc. v. Drexler* (2000) 22 Cal.4th 1084, 1095. The lodestar figure may then be adjusted, based on consideration of specific factors to the case, in order to fix the fee at the fair market value for the legal services provided. *Id.* Among the factors considered in adjusting the lodestar figure are: (1) the novelty and difficulty of the questions involved, and the skill demonstrated in presenting them; (2) the extent to which the nature of the litigation precluded other employment by the attorneys; and (3) the contingent nature of the fee award. *Press v. Lucky Stores, Inc.* (1983) 34 Cal.3d 311, 322. The approach anchors the court’s analysis to an objective determination of the value of the attorney’s services, ensuring the amount awarded is not arbitrary. *Id.* Ultimately, the trial court has broad discretion to determine the value of professional services rendered in its court. *Vo v. Las Virgenes Municipal Water Dist.* (2000) 79 Cal.App.4th 440, 446. A declaration attesting to the accuracy of the fee bill is entitled to a presumption of credibility. *Horsford v. Board of Trustees of California State University* (2005) 132 Cal.App.4th 359, 396.

In the declarations in support of the motion, defendants request fees and costs as follows:

- Attorney Jaimee Jones: billed \$77,490 (172.2 hours at \$450/hour), and requests a reasonable hourly rate of \$575 under the lodestar method, resulting in fees of \$99,015.00.
- Attorney James Richards: billed \$6720 (22.4 hours at \$300/hour), and requests a reasonable hourly rate of \$500 under the lodestar method, resulting in fees of \$11,200.00.

The court has reviewed the declarations of counsel in connection with the request for fees/costs and presided over the underlying litigation. The underlying litigation was legally and factually complex and highly contested. The Court is satisfied that the time spent by both counsel Jones and Richards was reasonable. The Court, cognizant of the prevailing attorney's fees in this county for work of this nature, finds that counsel Jones is entitled to compensation at a reasonable rate of \$400.00 per hour and counsel Richards is entitled to compensation at a reasonable rate of \$250.00 per hour. The court awards as follows:

Jones Fees: 172.2 hours @ \$400/hour=\$68,880.00

Richards Fees: 22.4 hours @ \$250=\$5,600.00

Total Fees: \$74,480.00

Cost of Proof Expenses and Fees

Under Code of Civil Procedure section 2033.420(a), “[i]f a party fails to admit the genuineness of any document or the truth of any matter when requested to do so ..., and if the party requesting that admission thereafter proves the genuineness of that document or the truth of that matter, the party requesting the admission may move the court for an order requiring the party to whom the request was directed to pay the reasonable expenses incurred in making that proof, including reasonable attorney's fees.” When requested, courts are required to impose such fees unless “(1) [a]n objection to the request was sustained or a response to it was waived”; “(2) [t]he admission sought was of no substantial importance[;]” “(3) [t]he party failing to make the admission had reasonable ground to believe that that party would prevail on the matter[;]” or “(4) [t]here was other good reason for the failure to admit. Code Civ. Proc. § 2033.420(b).

Attorney's fees under this statute are known as “cost-of-proof fees.” They are intended to encourage efficient trials rather than reward a party for prevailing on a claim. *Gamo v. Merrell* (2025) 113 Cal.App.5th 565, 668. “The primary purpose of requests for admissions is to set at rest triable issues so that they will not have to be tried; they are aimed at expediting trial. The basis for imposing [cost-of-proof fees] is directly related to that purpose.... [They are] designed to reimburse reasonable expenses incurred by a party in proving the truth of a requested admission where the admission sought was ‘of substantial importance’ such that trial would have been expedited or shortened if the request had been admitted.” *Orange County Water Dist. v. The Arnold Engineering Co.* (2018) 31 Cal.App.5th 96, 115 (citations omitted).

A number of factors are critical with respect to recovery of fees.

First, “[t]he trial judge [has] the authority to determine whether the party propounding the admission thereafter proved the truth of the matter which was denied.” *Stull v. Sparrow* (2001) 92 Cal.App.4th 860, 864. “Costs of proof are recoverable only where the moving party actually proves the matters that are the subject of the requests. This means evidence must be introduced.” *Grace v. Mansourian* (2015) 240 Cal.App.4th 523, 529–530 (parentheses and citations omitted).

Second, cost-of-proof fees are not recoverable where a response to a request for admission was waived. *Wimberly v. Derby Cycle Corp.* (1997) 56 Cal.App.4th 618, 636.

Third, shifting of costs and expenses may be refused if the requested admission was “of no substantial importance” Code Civ. Proc. § 2033.420(b)(2). “[A]s a general rule a request for admission should have at least *some direct relationship* to one of the *central issues* in the case, i.e., an issue which, if not proven, would have *altered the results* in the case.” *Brooks v. American Broadcasting Co.* (1986) 179 CA3d 500, 509, 224 CR 838, 843 (emphasis added).

Fourth, “[t]o justify denial of a request, a party must have a ‘*reasonable*’ ground to believe he would prevail on the issue. *Grace v. Mansourian* (2015) 240 Cal.App.4th 523, 532. “Whether a party has a reasonable ground to believe he or she will prevail necessarily requires consideration of all the evidence, both for and against the party's position, known or reasonably available to the party at the time the RFA responses are served.” *Orange County Water Dist.*, 31 Cal.App.5th at 118.

The party seeking to avoid sanctions has the burden of showing an exception applies under section 2033.420(b). *Samsky v. State Farm Mutual Automobile Ins. Co.* (2019) 37 Cal.App.5th 517, 523.

Lastly, a party moving for cost of proof sanctions is required to identify the attorney’s fees and costs incurred in proving the matters that responding party unreasonably denied. *See In re Tobacco Cases II* (2015) 240 Cal. App. 4th 779, 807-808. The moving party cannot recover costs or fees for proving matters other than the matters covered by the improperly denied requests. *See Garcia v. Hyster Co.* (1994) 28 Cal.App.4th 724, 736-737. “The requested amounts must be segregated from costs and fees expended to prove other issues.” *Grace v. Mansourian* (2015) 240 Cal.App.4th 523, 529. An accounting is required (e.g., declarations from moving party's counsel) setting forth the hourly fees and time spent to “prove” the specific matters denied, as opposed to time spent on other matters not properly the subject of the section 2033 sanction such as preparation for trial generally or proving other matters at trial of the case. *Garcia*, 28 Cal.App.4th at 737.

At bar, Defendants contend Plaintiff unreasonably denied Requests for Admission (“RFAs”) No. 17 and 19; that is: that Plaintiff admit the statutory deadline for filing creditor claims had expired on April 17, 2022 and that Plaintiff admit it filed its creditor claim after the statutory deadline. The Court agrees.

The RFAs at issue were substantially important to the issue of whether Plaintiff’s creditor claim was time barred and precluded relief on the entire complaint. Plaintiff, the party seeking to avoid sanctions has failed to persuade the Court that any exception applies under section 2033.420(b). Consequently, Defendants are entitled to reasonable costs of proof, including the fees associated with the motion for summary judgment.

Defendants did not affirmatively identify the attorney’s fees and costs incurred in proving the matters unreasonably denied as was their obligation as the moving parties. Plaintiff did so in its opposition and suggests that Plaintiff’s Counsel Jones expended 27 hours in connection with the

same. In its reply, Defendants contend that Counsel Jones spent a total of 29.8 hours. The Court finds that Defendants spent 29.8 hours and finds that the reasonable hourly rate for Counsel Jones is \$400.00 per hour (based on consideration of the prevailing rate in this community for similar work by counsel with similar experience). Total cost of proof legal fees are found to be \$11,920.00.

Total Fees Awarded

The 29.8 hours of legal work incurred in proving the denied requests for admission under Code of Civil Procedure section 2033.420(a), was *also* claimed as legal work in connection with the recovery of prevailing party fees under Civil Code section 1717. No good cause has been suggested as to why Defendants should receive duplicative compensation for the same legal work. Accordingly, the Court awards total attorney's fees of \$74,480.00.

3. CU0001096 Gregory Heil, et al. vs. Telestream, LLC

Plaintiffs' unopposed motion to file a settlement agreement under seal, enter judgment, and conditionally dismiss the lawsuit without prejudice is denied without prejudice.

Legal Standard

California Rules of Court, rule 2.551(b)(1) states, "A party requesting that a record be filed under seal must file a motion or an application for an order sealing the record. The motion or application must be accompanied by a memorandum and a declaration containing facts sufficient to justify the sealing." "Unless confidentiality is required by law, court records are presumed to be open." *California Rules of Court*, rule 2.550(c). Express factual findings are required in connection with sealing. *California Rules of Court*, rule 2.550(d). Specifically: "The court may order that a record be filed under seal only if it expressly finds facts that establish:

(1) There exists an overriding interest that overcomes the right of public access to the record; (2) The overriding interest supports sealing the record; (3) A substantial probability exists that the overriding interest will be prejudiced if the record is not sealed; (4) The proposed sealing is narrowly tailored; and (5) No less restrictive means exist to achieve the overriding interest." *Ibid*. Moreover, the court must specify the content and scope of the order. *California Rules of Court*, rule 2.550(e). Specifically: "(1) An order sealing the record must: (A) Specifically state the facts that support the findings; and (B) Direct the sealing of only those documents and pages, or, if reasonably practicable, portions of those documents and pages, that contain the material that needs to be placed under seal. All other portions of each document or page must be included in the public file." *Ibid*.

Discussion

At bar, Plaintiffs' counsel has filed a supporting declaration to establish the factors set out under *California Rules of Court*, Rule 2.550(d). Plaintiffs request the entire settlement agreements be filed under seal, or in the alternative, that Sections 1, 2, 5-9 of the agreements be filed under seal. Plaintiffs have not provided the Court with an unredacted copy of the agreements or any of the referenced sections. Moreover, Plaintiffs have not offered any meaningful discussion of the required factors under Rule 2.550(d). On this record, there is no good cause set forth for complete or partial sealing.